

will be able keep your property as a rental should you find yourself in an unfortunate situation down the line.

Losing money each month on a property you're not living in might sound ridiculous, but ask yourself: Would you rather lose the entire property (and all your equity) to foreclosure or just a few measly bucks each month to negative cash flow while continuing to build equity? Although this may not be the best-case scenario, it certainly isn't the worst.

At a minimum, it's important just to know the cash-flow profile of your home. If you decide to go forward with purchasing a home that would be a loser as a rental, at least do so on your own terms!

Like we said before, this isn't an all-encompassing guide on how to rent a single-family property. If you want more advice on how to choose and manage a cash-flow winner, you should check out the other resources we've included at the back of this book.

SHORT-TERM RENTALS

Short-term rental platforms like Airbnb and Vrbo have taken the world by storm. Think about that for a minute. Prior to the late 2000s, people went on vacation and stayed in *hotels*. What a time to be alive.

It would be a shame for us as investors—and for you as a savvy investor-homeowner—to forget the short-term rental option with your property. This can be a great source of cash flow and even more profitable than the long-term rental option we mentioned above.

There is a catch, however. Many cities around the country frown upon short-term rentals or outright ban them. There are often complicated rules around who is allowed to rent a home as a short-term rental and who is not. Even if your current jurisdiction is A-OK with short-term rentals, you never know when they might change their mind—and you are entirely at the city's mercy.

We're not legal experts, but most parts of the country have been trending toward these tight restrictions. Plus, as the recent pandemic has demonstrated, the short-term rental market can be subject to factors beyond anyone's control. For example, problems with the travel industry could mean little to no occupancy at hotels and short-term rentals alike.